

INDEPENDENT RESEARCH NOTE

AUTHOR

Chirag Venkatesh

CONTACT

chirag42012@gmail.com · <https://chiragvenkatesh.vercel.app>

SCOPE

Revenue defensibility across the stablecoin supply chain

DATE

July 2026

CASES EXAMINED

USDT · USDC · DAI / USDS · Hyperliquid's USDH · Ethena's USDtb

Two stablecoins can share a peg, a chain, and a market cap, and still be entirely different businesses. This note argues that revenue defensibility is set by two largely independent variables — the **core-versus-wholesale composition** of a token's holder base, borrowed from bank-funding theory, and the **topological depth of its liquidity graph**, the number of independent systems for which it is required collateral. Together they explain why USDH lost to USDC despite superior yield-sharing economics, why market capitalization is a poor proxy for defensibility, and why moat *mechanisms* diffuse to incumbents faster than challengers can convert them into share.

The Puzzle

Two stablecoins can share a peg (a mechanism that ties stable coins value tied to a specific reference asset), a chain, and a market cap, and still have almost nothing in common as businesses. USDT trades at a premium nobody can explain with collateral quality alone, survives depegs, opacity, and a decade of regulatory needling, and keeps growing. A reserve-backed wrapper token like Ethena's USDtb can post a perfectly clean balance sheet fully collateralized by BlackRock's BUIDL fund, audited and still see its supply cut sharply in a quarter the moment a competing venue offers fifty basis points more. Hyperliquid's own native stablecoin, USDH, launched with governance backing, fee rebates, and a token-buyback mechanism funneling yield straight to HYPE holders, and it still bled down to roughly \$20 million in supply within seven months, handing the field back to USDC.

The standard explanation is holder stickiness: USDT sits in millions of individual wallets, each of which would need to independently decide to move. USDtb sits in a handful of protocol treasuries, each of which can be redirected by a single multisig transaction. That story is true, but it is the easy 80% of the answer. It does not explain why some concentrated-holder stablecoins survive competitive pressure while others evaporate in months, why moat-preserving innovations seem to leak away from the stablecoins that invent them, or how to price defensibility before the market re-prices it for you. This piece builds that missing layer, with a framework, a scorecard, and two live case studies. I have highlighted the switching costs next to each block

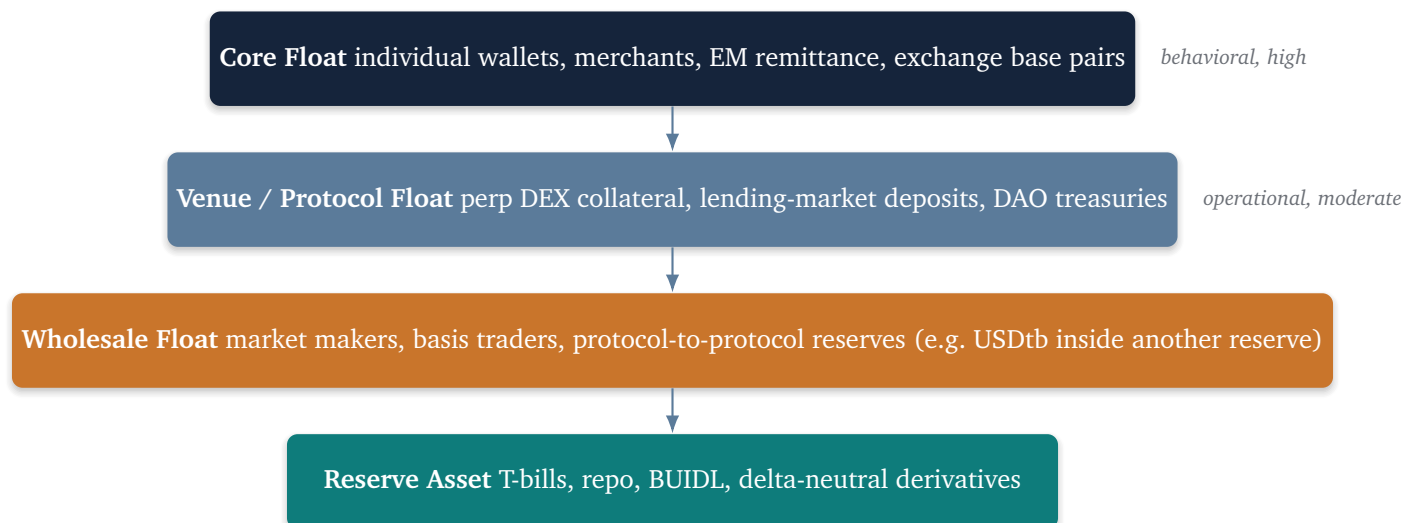


Figure 1: The stablecoin funding stack. Defensibility falls as you move down the stack, because the holder's motive shifts from *using a dollar* to *arbitraging a spread*.

1 The Deposit-Funding Analogy, Taken Seriously

Push the holder-stickiness intuition one level further and it stops being a stablecoin story and becomes a bank-funding story. Every stablecoin issuer is, functionally, running a balance sheet that borrows short (redeemable-at-par liabilities) and lends long or takes basis risk (Treasuries, repo, delta-neutral derivatives, tokenized funds). That is exactly the structure of a bank, and banking already has a vocabulary for the distinction we are groping toward: *core deposits* versus *wholesale funding*.

Core deposits are sticky because the depositor is not optimizing basis points; they are optimizing convenience, habit, and the hassle-cost of a new relationship. Wholesale funding is provided by sophisticated counterparties who exist specifically to arbitrage small rate differences and will move in size overnight if the spread justifies it. Silicon Valley Bank did not fail because its assets were unsound in isolation; it failed because its liability base had drifted toward large, professionally-managed balances that could, and did, leave in a single trading session.

Stablecoin liabilities sort the same way, and the sort is what actually predicts defensibility not market cap, not collateral quality, not brand. Figure 1 lays out the stack: core float at the top behaves like insured retail deposits; wholesale float at the bottom behaves like uninsured brokered funding. A DAO treasury parking idle stablecoins for yield, or Ethena routing part of its reserve into USDtb, is a counterparty relationship, not a customer relationship. Pricing power over wholesale float is close to zero because the entire reason for holding it is the rate, and the rate is public and instantly comparable.

KEY TAKEAWAY

Stop asking “how big is this stablecoin’s supply” and start asking “what fraction of this supply is core versus wholesale, and how does that ratio behave under a 50bp shock elsewhere.” A \$100B stablecoin that is 90% wholesale is a worse business than a \$10B stablecoin that is 90% core even though every public dashboard ranks them the other way around.

2 The USDH Case: Moat Mechanisms Diffuse, Moat Positions Don’t

Hyperliquid runs on USDC as its universal collateral asset. Every dollar sitting in Hyperliquid’s bridge contract earns reserve interest for Circle, not for the ecosystem a pure wholesale-funding subsidy leaking outward. In 2025, Hyperliquid validators selected Native Markets to issue USDH, a Treasury-backed native stablecoin explicitly designed to capture that yield and redirect it to HYPE stakers via an “Aligned Quote Asset” mechanism. It had everything the textbook says a challenger needs: governance backing, a direct USDH/USDC trading pair, fee rebates for market makers, and a yield-sharing structure engineered to beat the incumbent on economics rather than trust.

It still lost. Figure 2 sketches the shape of it: within seven months, USDH supply had fallen to roughly \$20 million against a Hyperliquid USDC base approaching \$5 billion, and Native Markets agreed to sell the USDH brand to Coinbase, which stepped in as Hyperliquid’s official USDC treasury deployer under a new framework AQA v2 that redirects the large majority of USDC’s own reserve yield back to the protocol. The mechanism USDH pioneered did not fail. It won completely. It just won for USDC, not for USDH.

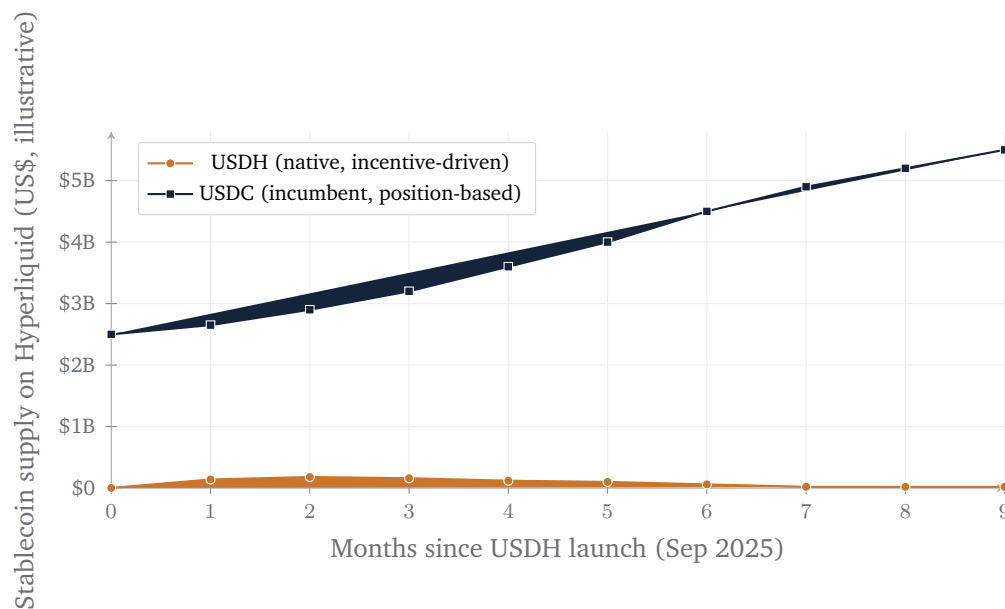


Figure 2: Stylized reconstruction of the USDH/USDC divergence on Hyperliquid, based on reported milestones (launch volume, mid-life supply near \$100M, wind-down near \$20M; USDC roughly doubling year-over-year to \$5B). Exact daily supply figures are not publicly disclosed; the shape, not the precise values, is the point.

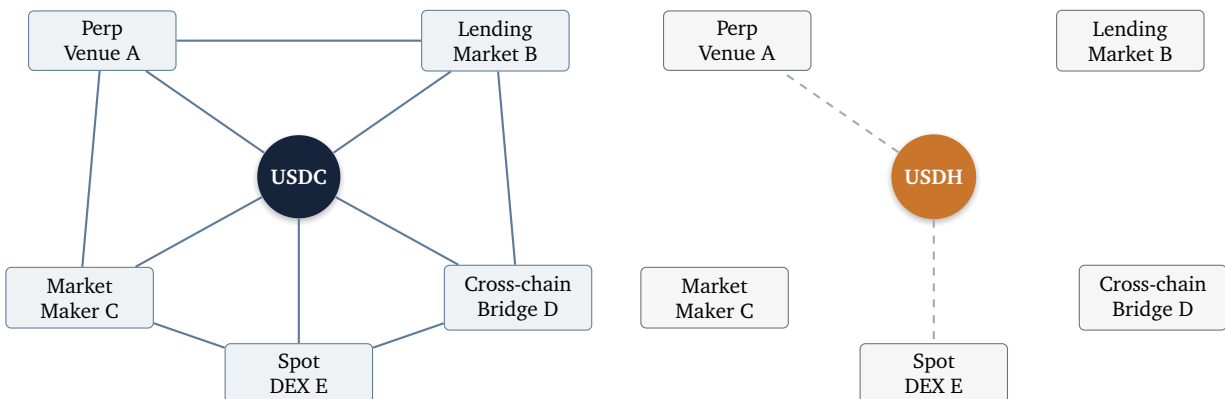
The yield-sharing innovation was never the moat; it was a feature that could be, and was, copied by whoever already held the actual moat USDC’s pre-existing liquidity depth and its status as default collateral across every HIP-1 through HIP-4 market. Native Markets had to invent a new economic mechanism to compete because it had no distribution. Circle only had to acquire the mechanism, because it already had the distribution.

KEY TAKEAWAY

When a challenger’s advantage is a *replicable mechanism* rather than an *irreplicable position*, the mechanism diffuses to the incumbent faster than the challenger can convert it into share. Moat innovations are portable; moat positions accumulated liquidity depth, integration surface area, habituated core float are not. Score a stablecoin’s edge on how much of it is position versus mechanism: mechanisms have a shelf life measured in the time it takes an incumbent’s business-development team to notice.

3 Liquidity as a Graph, Not a Pool

Most commentary treats “deep liquidity” as a single number total value locked, or DEX pool depth when the moat-relevant property is topological: how many independent systems have to be unwound simultaneously for a holder to fully exit a stablecoin, and how automated is each unwind? A USDT holder using it as a wallet-to-wallet dollar substitute faces one exit: a swap or an off-ramp. A market maker quoting USDT pairs across a dozen exchanges, with USDT posted as collateral against open loans and margining live perp positions, faces a combinatorial unwind before the exposure is actually zeroed out.



Dense graph: exit requires coordinated unwind

Sparse graph: exit is one swap

Figure 3: Liquidity as topology, not volume. The USDC-like hub is required collateral across five interlinked systems; unwinding it means coordinating five simultaneous exits. The USDH-like hub connects to two, so competitive share loss is a single arbitrage away.

Figure 3 makes the contrast concrete. The more independent venues that require a token as accepted collateral, the deeper this graph gets and the deeper the graph, the more the token is protected not because any individual holder loves it, but because unwinding it is operationally expensive at the system level even when it is cheap at the individual level. This is precisely why USDC's position on Hyperliquid was closer to genuinely defensible than USDH's ever was, independent of yield economics: displacing it required a simultaneous re-collateralization event across every market and every market maker's book, not just a better rate.

KEY TAKEAWAY

Liquidity-graph depth is measurable: count the number of independent systems lending markets, perp venues, market-maker books, cross-chain bridges for which a token is required or default collateral, weighted by how automated each system's exit path is. It is a better defensibility proxy than TVL or market cap.

4 An Exit-Speed Framework

Putting funding-structure composition and liquidity-graph depth together gives a usable scorecard for any stablecoin's revenue defensibility. The two axes are largely independent: a token can have deep core float and a shallow liquidity graph (a payments-focused stablecoin with limited DeFi integration), or shallow core float and a deep liquidity graph (a venue-native quote asset with heavy protocol integration but few retail holders of its own). Figure 4 plots the five stablecoins discussed here on both axes; Table 1 gives the same read in tabular form.

Two implications follow. First, market capitalization is a vanity metric it says nothing about the core/wholesale split, and a supply number can double on wholesale inflows that reverse in a single quarter, as USDH's launch spike and collapse illustrate. Second, the axes interact: a stablecoin with wholesale-dominated float but a deep liquidity graph can still be sticky, because the exit is gated

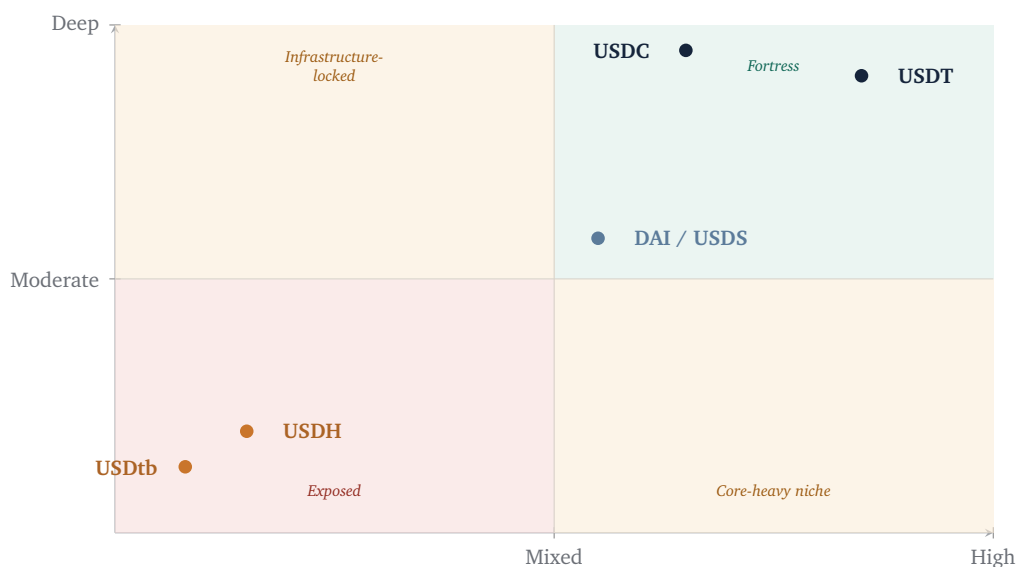


Figure 4: The moat quadrant. The y axis is the Liquidity-graph depth and the x axis is the Core float share. Positions are qualitative placements based on the analysis in this piece, not precise measurements. The bottom-left quadrant is where wholesale-funded, thinly-integrated tokens live exposed on both axes at once.

by system-level coordination costs even though no individual holder has a switching cost. This is arguably the most viable strategy left for an entrant that cannot win a core-float war against USDT or USDC head-on: skip the individual-holder acquisition problem and compete for liquidity-graph position instead, by becoming structurally required collateral inside enough independent systems that unwinding is expensive even though holding is a pure rate trade for everyone involved.

5 What This Implies Going Forward

For wrapper stablecoins built on tokenized real-world assets USDtb on BUIDL, and the growing family of similarly-structured tokens the honest framing is that they are not really competing on holder loyalty at all, and treating their supply figures as a proxy for a durable business is a category error. Their addressable moat is almost entirely liquidity-graph depth: the more lending markets, exchanges, and structured products that require them specifically, rather than any T-bill-backed dollar, as collateral, the more defensible they become, independent of the yield they pay. Chasing rate competitiveness alone is a losing game against an infinitely elastic wholesale market that will always find the highest yield among functionally interchangeable, fully-collateralized dollar tokens.

For L1- or venue-native stablecoins, USDH is close to a clean natural experiment showing that governance backing and token incentives cannot manufacture a liquidity-graph position that took an incumbent years of organic integration to build, and that any yield-sharing mechanism invented to compete will be copied by whoever already owns that position, probably faster than the challenger can consolidate the win. The strategic question for a would-be native-stablecoin issuer is not “can we out-yield the incumbent” but “do we control an integration surface the incumbent cannot simply absorb” and increasingly, for pure quote-asset stablecoins, the answer is no.

For the incumbents, the lesson cuts the other way: the yield-sharing mechanism is now common

Table 1: Defensibility scorecard

Stablecoin	Core / wholesale mix	Liquidity-graph depth	Effective exit speed	Defensibility
USDT	Mostly core (retail, EM, exchange base pair)	Very deep, default pair almost everywhere	Slow, individually diffuse	High
USDC	Mixed, deep institutional / venue integration	Very deep, default collateral on major venues	Slow at the system level	High
DAI / USDS	Mixed, heavy DeFi-native core	Deep within DeFi, shallow outside	Moderate	Moderate
USDH	Wholesale, incentive-driven	Shallow, challenger integrations	Fast, arbitrated via USDC pair	Low
USDtb (Ethena)	Almost entirely wholesale (protocol / treasury)	Shallow outside Ethena's own stack	Fast, single transaction	Low

knowledge, table stakes rather than a differentiator, and the actually defensible asset was never the mechanism but the pre-existing position. Expect every major venue-collateral relationship to renegotiate toward AQA2-style yield-sharing over the next year not because any issuer wants to give up margin, but because failing to offer it is now the only way to lose a liquidity-graph position that would otherwise be unassailable.

References

- [1] Federal Reserve Board, Office of Inspector General. *Material Loss Review of Silicon Valley Bank*. September 2023. <https://oig.federalreserve.gov/reports/board-material-loss-review-silicon-valley-bank-sep2023.pdf>
- [2] Board of Governors of the Federal Reserve System. *Review of the Federal Reserve's Supervision and Regulation of Silicon Valley Bank*. April 2023. <https://www.federalreserve.gov/publications/files/svb-review-20230428.pdf>
- [3] Federal Reserve Board. *Evolution of Silicon Valley Bank's Balance Sheet, Liquidity, and Failure*. 2023. <https://www.federalreserve.gov/publications/2023-April-SVB-Evolution-of-Silicon-Valley-Bank.htm>
- [4] Federal Deposit Insurance Corporation. "Recent Bank Failures and the Federal Regulatory Response" (Congressional testimony). March 2023. <https://www.fdic.gov/news/speeches/2023/spmar2723.htm>

ml

- [5] Economics Observatory. “Why Did Silicon Valley Bank Fail?” December 2023. <https://www.economicsobservatory.com/why-did-silicon-valley-bank-fail>
- [6] Yale School of Management. “Silicon Valley Bank’s Liquidity, Part Two: What About the Net Stable Funding Ratio?” February 2025. <https://som.yale.edu/story/2023/silicon-valley-banks-liquidity-part-two-what-about-net-stable-funding-ratio>
- [7] Coinbase. “Coinbase and Hyperliquid: Aligning Markets on Hyperliquid to USDC.” May 14, 2026. <https://www.coinbase.com/blog/coinbase-and-hyperliquid-aligning-markets-on-hyperliquid-to-usdc>
- [8] Bitcoin News. “Coinbase Wins USDC Treasury Deployer Seat on Hyperliquid, Circle Handles Cross-Chain Infrastructure.” May 14, 2026. <https://news.bitcoin.com/coinbase-wins-usdc-treasury-deployer-seat-on-hyperliquid-circle-handles-cross-chain-infrastructure/>
- [9] Bitcoin News. “HYPE Jumps 17% After Hyperliquid Grants Coinbase Rights to USDH Assets.” May 16, 2026. <https://news.bitcoin.com/hype-jumps-17-after-hyperliquid-grants-coinbase-rights-to-usdh-assets/>
- [10] Yahoo Finance. “Coinbase Takes Over USDH as Hyperliquid Shifts to USDC.” May 14, 2026. <https://finance.yahoo.com/markets/crypto/articles/coinbase-takes-over-usdh-hyperliquid-122337248.html>
- [11] CryptoSlate. “HYPE Jumps as Coinbase and Circle Back Hyperliquid’s Stablecoin Model.” May 15, 2026. <https://cryptoslate.com/hype-jumps-as-coinbase-and-circle-back-hyperliquids-stablecoin-model/>
- [12] Live Bitcoin News. “Coinbase Activates AQA2 for Hyperliquid USDC Treasury.” 2026. <https://www.livebitcoinnews.com/coinbase-activates-aqav2-for-hyperliquid-usdc-treasury/>
- [13] CryptoAdventure. “Coinbase Activates Hyperliquid USDC Treasury Wallet As AQA2 Rollout Advances.” 2026. <https://cryptoadventure.com/coinbase-activates-hyperliquid-usdc-treasury-wallet-as-aqav2-rollout-advances/>
- [14] Yahoo Finance. “Ethena Launches USDTb Stablecoin Backed by BlackRock’s \$500M BUIDL Fund To Reduce USDe Risks.” December 17, 2024. <https://finance.yahoo.com/news/ethena-launches-usdtb-stablecoin-backed-064715681.html>
- [15] The Block. “Ethena Plans to Launch New Stablecoin Backed by BlackRock’s Tokenized BUIDL Fund.” 2026. <https://www.theblock.co/post/318297/ethena-ustb-stablecoin-blackrock-buidl-securitize>
- [16] Bybit Learn. “USDTb: The Ethena Stablecoin Backed by BlackRock’s Digital Funds.” October 13, 2025. <https://learn.bybit.com/en/stablecoin/what-is-usdtb-crypto>
- [17] Ethena Labs. *USDTb* (product documentation). <https://usdtb.money/>
- [18] Crypto News Navigator. “USDTb Emerged as Ethena’s Stablecoin Answer to Treasury Volatility.” May 15, 2026. <https://www.cryptonewsnavigator.com/academy/article/usdtb-ethena-stablecoin-insurance-policy>
- [19] J.P. Morgan Asset Management. *Eye on the Market: Silicon Valley Bank Failure*. 2023. <https://am.jpmorgan.com/content/dam/jpm-am-aem/global/en/insights/eye-on-the-market/silicon-valley-bank-failure-amv.pdf>